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IT STRATEGY

Fueling Growth, Not Maintenance: How Tech Budgets Are Evolving

Deloitte's Tech Spending Outlook indicates that technology budgets are rising, with organizations planning to dedicate more resources to business transformation and AI

Key takeaways

- **Transforming the business remains a top priority for organizations:** Executives plan to increase investments in activities aimed at reimagining their business by 25% in the next two years.
- **AI's share of technology budgets may rise:** Executives predict AI investment will increase by over 70% over the next two years.
- **Vendor ecosystems in flux:** The majority of executives surveyed say they are consolidating SaaS (65%) and IT infrastructure vendors (57%) as emerging technologies such as AI gain momentum.
- **The "invisible tax" continues to consume spend:** 36% of IT leaders surveyed say that 11% to 25% of their organization's tech stack could be classified as technical debt. They also report that, on average, 10% of their tech tools or services are consumed by shadow IT.
- **Cloud sprawl could affect efficiency gains:** Two-thirds of executives surveyed use FinOps tools, but only 35% say they apply strong governance, indicating low FinOps maturity. As 52% of leaders expect a larger share of tech budgets to go toward hybrid cloud platforms and services, the gap between tooling and true cost discipline may continue to widen.

Nine out of 10 organizations expect to increase their technology budgets next year, with most anticipating a shift toward innovation.

Deloitte's latest Tech Spending Outlook, based on a survey of 302 leaders including heads of IT, IT procurement leaders, and non-IT executives overseeing technology

spending across industries, finds that the average technology budget as a percentage of revenue for 2025 is 5%, nearly unchanged from 5.49% three years earlier. However, the way budgets are spent is evolving. The share allocated to operations and maintenance has declined—45% in 2025 compared with 48% in 2022—and is expected to drop to 38% in the next two years.

Meanwhile, spending on enabling new business models or capabilities has risen to 24%, up from 21% in 2022, and is expected to reach 31% in the next two years.

AI is reportedly fueling this shift toward innovation. Survey respondents predict that AI and machine learning may be their top investment areas over the next two years, followed by cybersecurity and data-related initiatives. As investment grows, technology leaders may face mounting pressure to demonstrate that every dollar spent drives growth. Increasingly, they are viewed as strategic (40%) or collaborative partners (36%) rather than just operators, according to respondents.

Across most industries, executives expect their organizations' top investment goals over the next two years will be creating revenue growth (40%), achieving operational efficiency (35%), and enabling AI-driven automation (38%). For example, the technology, media, and telecom sector is prioritizing process and workflow automation using autonomous agents, while life sciences and health care are focusing on faster innovation, time to market, and improved customer experience, executives indicate.

Scaling AI's Budget Share, R&D

Three years ago, only 18% of executives identified AI as the technology investment with the greatest impact on their organizations. Today, respondents say that AI and generative AI are rapidly becoming essential capabilities, with enterprises expecting to embed AI into core business processes. Executives predict AI's budget share will increase from 8% to 13% in the next two years, especially as agentic AI, physical AI, and sovereign AI continue to advance in 2026.

Nearly all respondents (99%) report active investment in AI, with generative AI, machine learning, and cloud-native development as fast-growing areas of R&D. However, they say only about 10% of AI use cases are in production, and just 10% report having AI embedded across multiple projects. The vast majority—90%—of AI use cases remain in the exploration or pilot phase. The next frontier will likely involve moving from experimentation to scaling AI with greater innovation and accountability.

Tightening Ecosystems Through Reallocation

Respondents say their organizations are changing vendor management to support emerging technologies. On average, they contract with 18 IT service providers, a number expected to drop to 15 by 2026. IT procurement leaders report active consolidation of suppliers or streamlining of provider relationships in SaaS (65%), IT infrastructure (57%), and software licensing (57%). These funds are being redirected into growth areas such as AI, cybersecurity, and data platforms.

Ecosystem optimization is increasingly viewed as a strategic way to reallocate resources, freeing up capital for the next wave of AI-led transformation. In the survey, 61% of respondents say vendor consolidation is their organization's most effective lever for optimizing technology spending.

Losing Tech Dollars to the 'Invisible Tax'

Although organizations plan to allocate more of their technology budgets toward innovation, a significant share seems to have been currently lost to inefficiencies. More than a third (36%) of IT leaders surveyed say that 11% to 25% of their tech stack is technical debt, while another fifth report that 26% to 50% is tied up in technical debt.

Shadow IT also consumes a notable portion of tech spend, with IT leaders estimating that 10% of technology tools or services used across their organization may not be formally approved, managed, or provisioned by IT.

Losing Efficiency Gains From Cloud Sprawl

Adopting new tools alone doesn't guarantee cost savings. While 66% of executives surveyed report using FinOps tools, only about a third say they have implemented strong governance practices. As cloud spending grows within enterprise technology budgets, organizations lacking mature FinOps governance could be vulnerable to cloud sprawl. Much focus today is on rightsizing compute and storage—a necessary step but perhaps not enough on its own. Without robust governance, greater FinOps maturity, and a disciplined approach to architecture, companies could risk losing the efficiency gains cloud adoption is meant to deliver.

As technology budgets increase heading into 2026, executives walk a tightrope, balancing cost pressures with a focus on innovation. The more budget and resources technology leaders devote to AI, the more accountable they are for delivering measurable impact. Now is the time for technology leaders to move from

experimentation to demonstrating the real value AI can bring to the IT function and the enterprise as a whole.

—by Jagjeet Gill, principal; Vibhu Kapoor, senior manager; Matthew Nehls, senior manager; and Shivang Aggarwal, manager, all with Deloitte Consulting LLP

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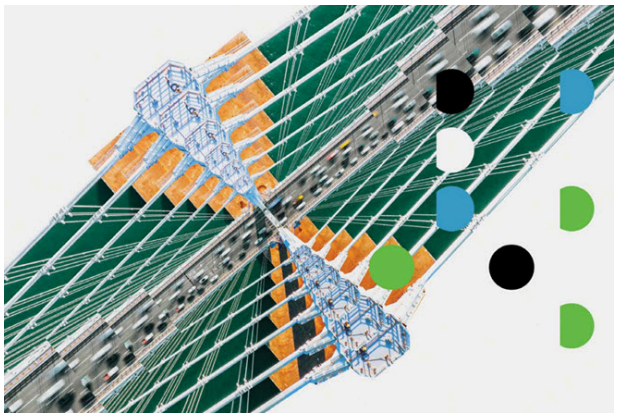

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